

1. *Self-enhancing bias* represents people's propensity to claim an irrational degree of credit for their successes.
2. *Self-protecting bias* represents the corollary effect—the irrational denial of responsibility for failure.

Self-enhancing bias can be explained from a cognitive perspective. Research has shown that if people intend to succeed, then outcomes in accordance with that intention—successes—will be perceived as the result of people acting to achieve what they've originally intended. Individuals, then, will naturally accept more credit for successes than failures, since they intend to succeed rather than to fail. Self-protecting bias can also be partially explained from an emotional perspective. Some argue that the need to maintain self-esteem directly affects the attribution of task outcomes because people will protect themselves psychologically as they attempt to comprehend their failures. Because these cognitive and emotional explanations are linked, it can be difficult to ascertain which form of the bias is at work in a given situation.

PRACTICAL APPLICATION

Dr. Dana Dunn, a professor of psychology at Moravian College in Bethlehem, Pennsylvania, has done some excellent work regarding self-serving bias. She observed that her students often have trouble recognizing self-serving attributional bias in their own behaviors. To illustrate this phenomenon, she performs an experiment in which she asks students to take out a sheet of paper and draw a line down the middle of the page. She then tells them to label one column "strengths" and the other "weaknesses" and to list their personal strengths and weaknesses in the two columns. She finds that students consistently list more strengths than weaknesses.¹

Dunn's result suggests that her students tend to suffer from self-serving attributional bias. Investors are not immune from this behavior. The old Wall Street adage "Don't confuse brains with a bull market" is relevant here. When an investor who is susceptible to self-attribution bias purchases an investment and it goes up, then it was due, naturally, to their business and investment savvy. In contrast, when an investor who is susceptible to self-attribution bias purchases an investment and it goes down, then it was due, naturally, to bad luck or some other factor that was not the fault of the investor. People's strengths, generally, consist of personal qualities that they believe empower them to succeed, whereas weaknesses